The PLI scheme offers incentive of 4–6 per cent on incremental sales of mobile phones and eight specified electronics components (e.g., discrete semiconductor devices like transistors, printed circuit boards) manufactured in India to approved companies. It aims to bring iconic mobile set manufactures to India and is expected to cost a total of Rs 48,000 crore over the next five years.

An Assessment of Electronics Manufacturing Policies

The global electronics hardware industry is the largest growing manufacturing industry as it produces electronics that are change agents to transform the production of all goods and the delivery of services. The hardware industry has grown to be over $2.5 trillion and is expected to be the biggest growing industry for many more years.

However, we have not been able to jump on the electronics manufacturing bandwagon. India’s 3 per cent-odd share is in turnover of electronic products. If the value added in the electronics hardware industry is taken into account, the country’s share in global value added in electronic hardware alone is still smaller.

The largest value addition in the electronics hardware industry is concentrated among a few manufacturers who own most patents and are master designers. The personal computers and devices segment is dominated by Apple, IBM, Lenovo and HP, while Samsung, Huawei, Apple and Oppo enjoy over 60 per cent share globally in mobile manufacturing. In 5G technology-based instrument manufacturing, Ericsson, Nokia, Qualcomm and Huawei dominate the world, while among semiconductor manufacturing companies, Intel, SK Hynix, TSMC, Micron Technology and Qualcomm enjoy preeminent status. It is unfortunate to note that there is not a single Indian company among the global top ten in any of these segments. It is a sobering thought. This is possibly recognized by Indian policymakers